CHAPTER - III

CHAPTER - III

TAHASIL FINANCE

3.1. PERSPECTIVE

"All undertakings depend upon finance. Hence, foremost attention shall be paid to the treasury".[1]

"Sound fiscal management is, therefore, of vital importance to government. As revenue is derived even from the humblest citizen, it is morally incumbent upon the government to spend money efficiently and economically. Imprudent financial management alienate the people from the government, ultimately endangering the latter's existence. In democracy, there should be an unmistaken urge to involve sound financial management, for people tend to identify extra vagancy and other ill practices with democracy, which consequently, stands discredited in their eyes. Unsound financial administration, thus, may blast the prospects of democracy itself. There is yet another factor which has added considerable significance to financial administration today The unprecedented increase in government expenditure in modern times makes it absolutely necessary that sound principles, tools and techniques of financial administration are evolved and employed by all governments. The method and style of financial administration do influence and even condition the socio-economic behaviour of the people and is, in the words of the Task Force (Hover Commission) Report, at the core of modern government. The budget is the nuts and bolts of public policy.[2]

1. Kautilya, Arthasastra (Translated by R.Shamsastry), My sore, Raghuveer Printing press, 1956, Chapter VIII, P.65.
2. Avasthi and Maheswari, Public Administration, Laskhmi Narain Agarwal, Publisher, Hospital road,k AGRA-3, 2001, P-459.

"Government raises fund from the public to meet "maintenance" expenditure or the running expenses of public administration. Government has also to raise funds for "development" expenditure to create new capital assets like big dams, steel plants, new roads, railways, electricity, generating plants etc. Financial administration involves planning of public expenditure and revenues, making funds available for the government activities and ensuring the lawful and efficient use of these funds. Under democratic government, the legislative is the body to vote the taxes and authorise expenditure. Financial administration has to see that the legislative is not asked to place more tax burden on the people than what it necessary, and that the money voted by it for expenditure is used according to its wishes and with due regard to economy and efficiency".[3]

Finance lubricates the wheels of administration. There can be no administration without finance as there can be no atmosphere without oxygen. Finance is thus the fuel for the engine of administration, whether Union, State or Local. Sound fiscal policy is of vital importance to the governments. In democracy, in particular, evolving sound financial management is imperative, as the masses tend to consider this as the criterion for the successful operation of democracy.

As the population is increasing day to day the physical area of an revenue territory is also extended in a gradual process. After these developments in primary elements VIZ, population and territory in revenue organization, it is the governmental machinery upon, which the pressure is put from time to time. The extension of revenue territory and growth of population of the concerned area through migration the people creates various problems in revenue administration. It is the Tahasil authority upon which the varieties of pressures are exercised. The fulfillment of these revenue territorial and popular

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3. Bhattacharya Mohit, New Horizons of public Administration, Jawahar Publishers and Distributors, 15, DDA Market, Ber Sarai, OOP. JNU Old Campus, New Delhi, 2008, PP-364-365.

demands and satisfaction of various needs for smooth revenue administration depends upon the financial strength and stability of the Tahasil administration. As professor Nigro says.

"Financial administration is of great importance today because of the tremendous increase in the amounts of money expended for Government services. Everything government does requires money ....., it is utterly essential that sound principles and techniques of financial administration be employed.[4]

Finance is the key to the governmental machinery ; without finance the authority is blind ; Tahasil administration presents a series of local problems which requires a well planned and modernise financial policy.

The efficient and effective functioning of Tahasil administration and the standard of services provided by it depend not only on the organisational procedures, financial capability, tax administration, and administrative and technical competence of the Tahasil personnel but also on the interest, understanding and consideration of the citizens.

The inner most problem of Tahasil administration is its finance. The financial stability of the Tahasil administration is judged from its capacity in collecting the revenues. The particular problem in finance, though different from one Tahasil in the other due to the reorientation of levying and collecting of revenues and fulfillment of local problems of the conscious peoples, yet the finance of Tahasil administration may be analysed closely enumerating two facts, viz, Sources of income and heads of expenditure.

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4. Nigro, F.A. 1976, Public Administration P-312.

"On its practical side, financial administration is that part of the Government organisation which deals with the collections, preservation and distribution of public funds with the arrangement of public revenues and expenditure, with the management of credit operation on behalf of the state and with general control of the financial affairs of the public household". (5)

Financial administration therefore includes ;

(i) Assessment and collection of revenues.
(ii) Incurring expenditure and
(iii) Management and Control of financial affairs including preparation and execution of the annual budget.

The financial management of Tahasil administration includes the collection of Various kinds of revenues just like land revenue sairat sources, Nistar cess, water tax, miscellaneous items of revenue such as Amin fees, settlement charges, Rent and fines from encroachment cases.

Thus, Tahasil finance as a source of the governmental finance is also named as public finance. "Public finance deals with the expenditure and income of the public authority of the state and their natural relation as also with the financial administration and Control". (6)

So, also as Documentations, "It is concerned with income and expenditure of public authority and with the adjustment of one to the other". (7)

"In modern times this includes four major division ; public revenue, public expenditure, public debt and certain problems of fiscal system as a whole such as fiscal administration and fiscal policy. (8)

5. Lal G.S., 1969, Financial Administration in India, P-6, New Delhi.
6. Bastable - Public Finance.
7. Dalton Hugh - Principles of public finance, Fourth End. - P-1.
8. Groves Har Old, Financing Government, Fifth Edn. P-1.

Thus, public finance is concerned to explain that how public authorities collect revenue ; how they make expenditure and how revenue expenditure process is administered.

3.2. TAX REVENUE

The sources of income of Tahasil Administration in Odisha are mainly from taxation and non-tax revenues. In come from taxation are mainly on Land Revenues including services like.

(a) Rent
(b) Water Tax
(c) Local Ceases
(d) Nistar Cesses and
(e) Miscellaneous Revenue

The tax revenues are again categorised into three parts.

Part-I Comprises of Rent and Cess.

Part-II Includes miscellaneous revenues.

Where as Part-III

Contains water Rate

The taxes from different sources on different objects during different years of Jajpur Tahasil and other Tahasils in Jajpur district are given below. [9]

9. Source, Inspection Note of Sri Sailendra Narayan Sarangi, I.A.S, Revenue Divisional Commissioner Central Division, Cuttack on Jajpur, Collectorate on 19.12.2008.

COLLECTION OF REVENUE (TOUZI)

The table below shows the target for collection of revenue under Unit 0.029LR & 0.701WR in the District of Jajpur for the year 2007-08 and 2008-09 up to 31.11.2008.

2007 - 08 **(Rs. in lakhs)**

Name of the Tahasil	Target for the year 2007-08			Achievement during the year 2007-08			Percentage of Collection		
	LR	W.R	Total	LR	W.R	Total	LR	W.R	Total
Jajpur	145.25	36.97	182.22	187.98	18.15	206.43	129.42	49.51	113.29
Binjharpur	41.47	11.20	52.67	54.31	3.98	58.20	130.96	34.73	110.50
Bari	27.91	-	27.91	42.21	-	42.21	151.24	-	151.24
Dharmasala	677.75	17.91	695.66	402.29	5.28	407.57	59.36	29.48	58.59
Darpan	143.28	46.60	189.88	598.99	13.45	612.44	418.06	28.86	322.54
Sukinda	1747.98	5.68	1753.66	604.81	2.74	607.55	34.60	48.24	34.64
Total	**2783.64**	**118.36**	**2902.00**	**1890.59**	**43.81**	**1934.40**	**67.92**	**37.01**	**66.66**

2008-09 (Till 30.11.2008) **(Rs. in lakhs)**

Name of the Tahasil	Target for the year 2008-09			Achievement during the year 2008-09			Percentage of Collection		
	LR	W.R	Total	LR	W.R	Total	LR	W.R	Total
Jajpur	174.14	37.98	213.12	93.34	2.82	95.16	52.72	7.42	44.65
Binjharpur	5064	14.57	65.21	16.62	0.37	16.99	32.82	2.54	26.05
Bari	39.37	-	39.37	7.49	-	7.49	19.02	-	19.02
Dharmasala	674.82	21.22	696.04	162.44	1.18	163.62	24.07	5.56	23.51
Darpan	258.00	54.53	312.53	108.92	2.41	111.33	42.22	4.42	35.62
Vyasanagar	504.73	1.24	505.97	139.37	0.11	139.48	27.61	8.87	27.57
Sukinda	58.72	5.56	64.28	14.34	0.27	14.61	24.42	4.86	22.73
Total	**1761.42**	**135.10**	**1896.52**	**541.52**	**7.16**	**548.68**	**30.74**	**5.30**	**28.93**

For the last financial year, the collection was 66.66% whereas collection till November, 2008 is 28.93%.

DCB (Demand Collection Balance) Position on revenue Collection

The Table below shows the item wise Demand, Collection and Percentage position on revenue collection for the year 2007-08 and 2008-09 up to 30.11.2008.

2008-09 **(Rs. in lakhs)**

Item of Revenue	Demand			Collection			
	Arrear	Current	Total	Arrear	Current	Total	%
Part-I	106.03	45.70	151.72	18.18	11.80	29.93	19.73
Part-II	131.76	326.24	458.00	403.53	539.97	943.50	204.77
Part-III	83.02	44.12	127.14	4.95	2.99	7.93	6.24
Total	**320.81**	**416.05**	**736.86**	**426.60**	**554.76**	**981.36**	**133.18**

Till November, 2008, an amount of Rs.981.36 lakh has collected against the demand of Rs.736.86lakhs.

As instructed by the Board of Revenue, Orissa, Cuttack the Tahasildars strive for cent percent achievement in collection of arrear collectable demand.

Certification and Assessment of CBWR (Compulsory Basic Water Rate)

The table below shows the position on Certification and assessment of CBWR as on 31.10.2007.

Name of the Tahasil	Total certified area (in Ac.)	Total Assed area (in Ac.)	Area unfit for assessment (in Ac.)	Balance area to be assessed (in Ac.)
Jajpur	20168.20	18278.18	1890.02	0.00
Binjharpur	4747.42	3678.73	808.22	260.47
Bari	0.00	0.00	0.00	0.00
Dharmasala	18339.66	17612.32	727.34	0.00
Darpan	17378.90	8691.83	8687.07	0.00
Sukinda	8169.90	4364.40	3805.50	0.00
Total	**68804.08**	**52625.46**	**15918.15**	**260.47**

Ac. 15918.15 area of land has been shown unfit for assessment. The problem in this regard should be sorted out and action should be taken to reduce area unfit for assessment.

Similarly steps should be taken for immediate assessment of balance area.

Uncollectable Demand

The position of uncollectable demand till 30.11.2008 is given in the table below.

Name of the Tahasil	Total Un-collectable demand	Amount of remission proposal sanctioned	Balance
Jajpur	16241.65	0.00	16241.65
Binjharpur	38402.00	0.00	38402.00
Bari	38406.00	0.00	38406.00
Dharmasala	818669.79	0.00	818669.79
Darpan	177762.95	0.00	177762.95
Sukinda	5218909.30	0.00	5218909.30
Total	**6308391.69**	**0.00**	**6308391.69**

It needs through verification as to whether the amounts reported by the Tahasildars are really uncollectable. After through verification the Tahasildars may initiated remission / write off proposal. This exercise should be done by 31.03.2009.

The taxes from different sources on different heads of different financial years categorised in Part-I, Part-II, Part-III and other containing, Rent and Cess, Miscellaneous Revenue, water Rate, and Interest accordingly of Jajpur Tahasil are shown in the Table given below.

COLLECTION OF REVENUE OF JAJPUR TAHASIL
FOR THE YEAR 2006-07, 2007-08 & 2008-09

YEAR OF COLLECTION	PART-I RENT & CESS	PART-II MISC. REVENUE	PART-III WATER RATE	OTHER (INTEREST)	TOTAL
2006-2007	Rs.9,35,287.15	Rs.1,24,82,176.30	Rs.11,75,074.30	Rs.2,20,376.95	Rs.1,48,12,864.70
2007-2008	Rs.8,68,325.50	Rs.1,69,84,684.75	Rs.13,92,473.50	Rs.13,97,690.25	Rs.2,06.43,174.00
2008-2009	Rs.23,28,523.90	Rs.2,13,69,285.80	Rs.28,08,762.90	Rs.05,18.798.40	Rs.2,70,25,371.00

(10)

Low collection of taxes and fees is the prime Cause of weak finance of the Tahasil Administration. The efficiency of tax Collection depends largely upon the character of the tax collections. It is found from the reports of the Inspectors of the Government that several factors are responsible for low rate of collection.

(i) The Government do not pay timely the Service taxes in respect of their holdings.

(ii) The tax Collectors are not supervised adequately.

(iii) The legal procedures in the Acts do not ensure prompt Collection.

(iv) Bills against improper assessment remain pending for a long time.

(v) The Government is reluctant to enforce strigent measures.

(vi) The tax collecting Agency is unwilling to take prompt and timely action and

(vii) The Tahasil administration is also adopting the practice of remission and writing off errear taxation fees.

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3.3. NON - TAX REVENUE

The main source of non tax revenue in Tahasil administration is sairat. The sairat comprises of the subjects of Fisheries, quarries, Hats and Fairs, Ferry Ghats, Government orchards and stray trees standing on Government Land.

10. Source, Jajpur Tahasil Office Account Section, January, 2010.

Settlement of Sairat Sources

The table below shows the position of settlement of sairat sources in the district of Jajpur.

2007-08

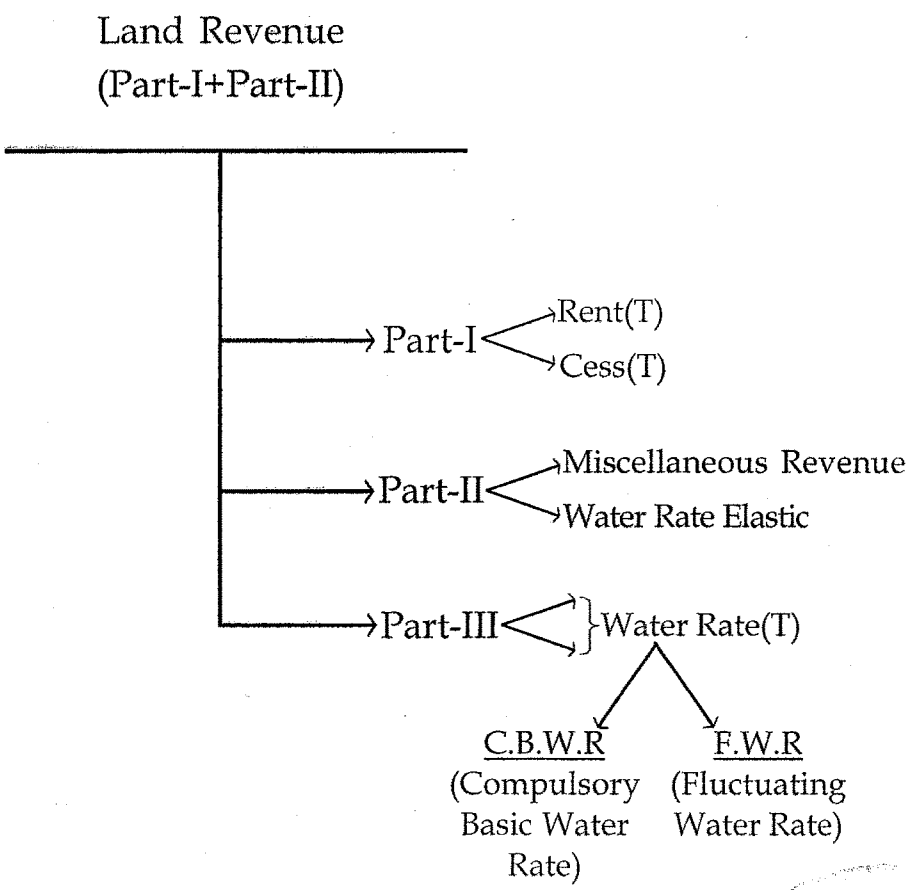
Sl. No.	Name of the Tahasil	Total no. of sources in the Tahasil	Sources transferred to GP & Others	Sources extineted	Balance sources for settlement	Sources dictated newly	Total sources for settlement	Sources settled during the year	Balance sources to be settled.
1.	Jajpur	76	44	12	20	0	20	12	8
2.	Binjharpur	180	158	18	4	1	5	3	2
3.	Bari	41	28	0	13	0	13	9	4
4.	Dharmasala	122	15	0	107	0	107	92	15
5.	Darpan	634	337	243	54	0	54	13	41
6.	Sukinda	170	10	102	58	0	58	27	31
Total		1223	592	375	256	01	257	156	101

2008-09 (till 30.11.2008)

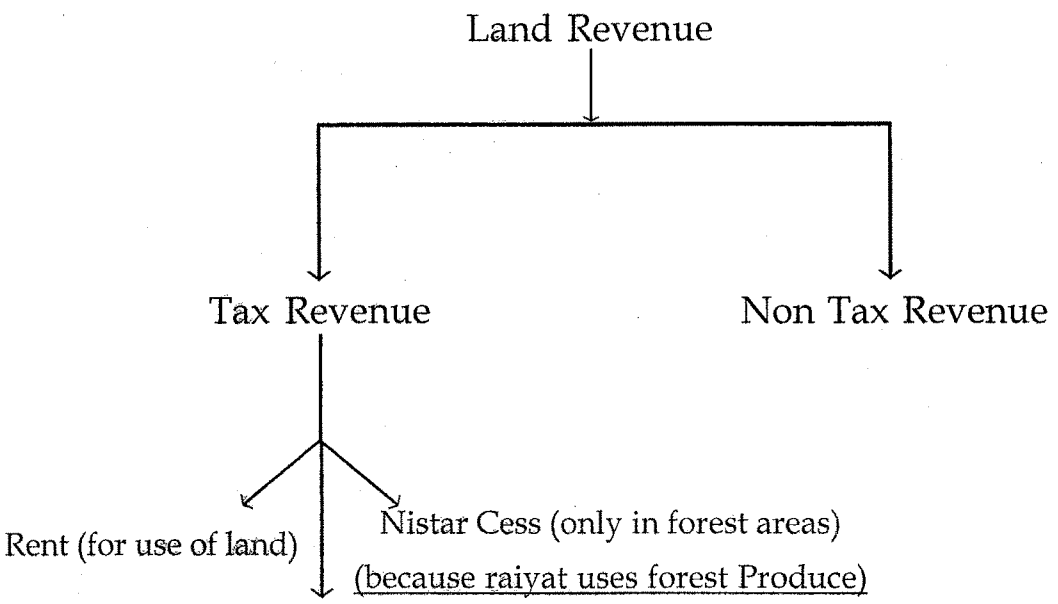
Sl. No.	Name of the Tahasil	Total no. of sources in the Tahasil	Sources transferred to GP & Others	Sources extineted	Balance sources for settlement	Sources dictated newly	Total sources for settlement	Sources settled during the year	Balance sources to be settled.
1.	Jajpur	76	44	12	20	0	20	12	8
2.	Binjharpur	180	158	18	4	2	6	5	1
3.	Bari	41	28	0	13	0	13	9	4
4.	Dharmasala	122	15	0	107	0	107	57	50
5.	Darpan	634	337	243	54	0	54	13	41
6.	Vyasanagar	145	10	102	33	0	33	14	19
7.	Sukinda	25	0	0	25	0	25	21	4
Total		1198	592	375	256	2	258	21	127

During the year 2007-08, 101 sairat sources were kept unsettled. During the current year till November, 2008, 127 sources are to be settled. The Collector should instruct the field functionaries for cent percent settlement. New sources should be detected for more Government revenue. It should be encouraged. [11]

PATTERN OF TAHASIL TAX SYSTEM



11. Source Inspection Note of Sri Sailendra Narayan Sarangi, IAS, Revenue Divisional Commissioner, Central Division, Cuttack or Jajpur Collector on 19.12.2008.



Cess (Developmental to be fixed by he settlement/Consolidation Authorities under the Provisions of the O.S. & S. Act 1958 and O.C.H & P.F.L. Act 1972).

Before incorporation in the R.O.R the Rent statement to be approved by the Board of Revenue.

Non Tax Revenue

PREMIUM OR SALAMI

(Collected at the time of transfer of land through"lease". It is the price of the land. It is paid once for all. In case of inter departmental transfer of Government land i.e. from Revenue Department to other department of State Government the transfer is to be made free of all Charges (Orissa Genera Financial Rules,

Rule 283, Vol-I).

- If land is to be alienated in favour of Department of Central Government like Rly & Telecom, the Department is required to pay "Capitalised value" Premium +25 (Rent + Cess). After transfer to the Department of Central Government the Department is not liable to Pay annual rate and cess "Capitalised Value".

Conversion Fee

- A raiyat is liable to pay conversion fee at the prescribed rate for change of kisam (classification) of land from agriculture to non-agriculture U/s 8(A) of the O.L.R. Act, 1960.

Sairat Revenue

- Administered by the provisions of Orissa Minor Minerd Concession Rules, 2004 (It is piece of Substantive legislation)
- The financial aspect is governed by the Mannual of Tahasil Accounts.
- Tahasildar is competent to conduct auction for price up to Rs.50,000/-.
- If it is more than Rs.50,000/- Sub-Collector is competent to Conduct auction.

- Sairat Revenue is generated either through Annual Action, or "Temporary permit" (Max 2 months) or through "Quarry lease" (Max 3 yrs.)
- Sairat Sources like Fisheries, Hats & Fairs, Ferry Ghats have already ben transferred to the G.Ps.
- The amount Collected is deposited on "10853 - Non - Ferrous and Methallurgical Industries-102-Mineral Concession fes, Rents and royalties".

Penalty and temporary assesment in encroachment cases.
Penalty - @ Rs.100/- Per/ Acre Per year.
Assement - @ Village Rent

SCHEDULE - II

[See Rule - 24(ii) and 28 (ii)]

Royalty

		Rate of Royalty per cubic meter	
1.	Ordinary sand	Rs.	10.00
2.	Ordinary clay, silt, rehmatti, brick-earth, ordinary earth, moorum	Rs.	10.00
3.	Sandstone, laterite and slate in shape of slabls and tiles	Rs.	50.00
4.	Bentonite, Fuller's earth	Rs.	125.00
5.	Chalcedony, shingles, gravels, pebbles of all types	Rs.	50.00
6.	Ordinary boulders used for road and civil construction	Rs.	36.00
7.	Road metals including ballast and chips	Rs.	36.00
8.	Bajri and crusher fines	Rs.	10.00

9.	Stones used for household utensils	Rs.	75.00
10.	Limestone nad lime kankar used in kilns for manufacture of lime used as building material and limeshell	Rs.	50.00
11.	Stone chips and bajri other than of marble used as mosaic in flooring	Rs.	60.00
12.	(a) Marbles blocks and slabls (b) Marbles chips and powder	Rs. Rs.	450.00 75.00

13. Decorative Stone :-

(i)	Black granite exceeding 0.50 cum.	Rs.	1100.00
(ii)	Coloured and multi-coloured granite exceeding 0.50cum.	Rs.	900.00
(iii)	Cut or dressed granite blocks useful for tiles for size less than 0.50 cum	Rs.	400.00
(iv)	All other rocks when used for decorative and monumental purposes	Rs.	150.00
(v)	Limestone other than classified as major minerals.	Rs.	300.00

The above rates of royalty shall be increased by forty percent automatically with effect from fourth year in case these rates are not revised after expiry of three years from the date when the rates were last fixed, due to any reason. (12)

Suspension / Remission / Write off / Extinction of Sairat Sources

Suspension of land Revenue due to natural calamities.

→ In case of natural calamities (only notified natural calamities) land revenue can be suspended for a particular year i.e. year of accurance. Government is competent to approve the proposal.

12. Source, Tahasil Accounts Manual, Orissa Law Reviews Cuttack, 2004.

→ Provisions of Orissa Relief code & the Executive Instructions issued there under (Principle Governed by)

Remission

→ In case of natural calamities (only notified natural calamities) land revenue can be remitted for a particular year i.e. year of occurance.

Write off

→ If there is no possibility of collection due to some reason and other the amount can be written off from the revenue records after receiving orders from competent authority.

Extinction of Sairat Sources

50-A- When a source does not fetch any income continuously for 3 years and the Revenue Inspector sees no prospect of the source fetching income in future, he should submit a report to the Tahasildar explaining the reasons to declare the source to be extinct. If the average income from the source so reported for the last three years preceding the year in which the source did not fetch any income for the first time is Rs.500 or less, the Tahsildar, after inspection, may order the source to be extinct. If the said average income is found to exceed Rs.500, the Tahsildar should submit his report within two months of receipt of the Revenue Inspector's report to the Sub-Collector. On receipt of the Tahsildar's report, the Sub-Collector may if the average income is five thousand rupees or less pass orders with or without any further enquiry declaring the source to be extinct. Where, however, the average income exceeds five thousand rupees, he shall forward the case along with his recommendations to the Collector for orders.

50-B- When a source is required to be closed on account off its historical, archaeological,, religions or scientific importance, the Tahasildar shall submit a proposal to the Sub-Collector accordingly. The Sub-Collector shall conduct necessary enquiry and forward the case to the Collector with his recommendation. The Collector shall with or without further enquiry, pass such orders as he deems proper. The Revenue Division Commissioner or the Board of Revenue may, at any time, review any such order.

REGISTER NO.11

Register of Remissions

122. This is an annual register of revenue remissions. It should include only occasional remissions granted on account of adverse season such as remission for worst or loss of crop.

123. The remission of basic water rate and water cess may be granted for the following reasons.

(i) Failure of supply of irrigation water.

(ii) Material injury from excess of water due to deficient drainage, and

(iii) Injury to the crops caused by inundation, by light by storm or by extraordinary causes. No. remission shall be granted in respect of cases failing under Clause (iii) above without specific orders of the State Government.

124. When there is an apprehension of failure of crop or widespread calamity, the Revenue Inspector should inspect the lands the crop of which is likely to fail as soon as the failure or calamity is known and furnish a report to the Tahasildar about his estimate of the anticipated damage to the crops. Where the damage or calamity is due to any unexpected cause like attack of locust, the Revenue Inspector should inspect the fields immediately after the damage is caused and shall submit a report to the Tahasildar. This, however does not

absolve the Tahsildar of the responsibility and he need not in all cases wait till the report of the Revenue Inspector is received. As a matter of fact, whenever any apprehension of failure of crop or widespread calamity comes to his notice he should ask the Revenue Inspector concerned to take action as indicated above and should see that Revenue Inspector's report is received within a week from the date of his order. The Revenue Inspector report should normally contain all relevant facts so as to enable the Tahasildar to properly appreciate the case. The Revenue Supervisor and the Tahsildar are required to make a percentage check in the area where there has been dame of failure of crop, the minimum percentage being 50 for the Revenue Supervisor and 25 for the Tahsildar. When the Tahsildar is satisfied after his percentage check that the Revenue Inspector's report is substantially correct. He should start a revenue Miscellaneous case and submit it to the competent authority through proper channel for obtaining order of remission.

125. Individual application for remission may be presented to the Tahasildar. The Tahasildar shall forward copies of such application to the Revenue Inspector for enquiry and report. The Revenue Inspector should within one week from the date of receipt of this reference furnish his report clearly specifying whether the damage was due to the negligence of the applicant or it was beyond his control. The report in such cases should be endorsed by the Revenue Supervisor in all cases. The Tahsildar before formulating his recommendation in the matter should inspect the land thereafter submit his recommendation to the competent authority.

126. Orders of remission are to be issued to the revenue Inspector in duplicate in the Form No.E of Appendix 'C'. The Revenue Inspector is to retain one copy in his guard file returning the other to the Tahsildar as an acknowledgment. In the duplicate copy returnable to the Tahsildar the

Revenue Inspector shall mention that he has filled up the relevant columns of Register No. II and X on the basis of these orders.

127. (a) In the matter or remission and suspension of land revenue for loss of crops caused by natural calamities such as flood, drought and cyclone, etc. the procedure laid down in paragraphs 189 to 193 of the Bihar and Orissa Famine Code, So far as it relates to the reporting about the extent of damage, subsequent recoupment and final assessment of the extent of the damage shall be followed.

(b) Necessary investigation for assessing the damages caused to crops by natural calamites shall be done by a Revenue Officer not below the rank of a Tahsildar.

(c) The Tahsildar or Revenue Officer if any specially employed for the purpose shall prepared a preliminary report and submit the same to the Sub-divisional Officer who shall then make a test check in at least 10 per cent of the total number of Villages affected. The report with the recommendation of the Sub-divisional Officer shall be submitted to the Collector who before passing final order or formulating recommendation about suspension or remission shall make a test check in at least 2 per cent of the affected villages.

(d) The enquiry and check as envisaged in Clause (b) and (c) above shall be completed before 31st December of the year to which the claim for suspension or remission relates.

(e) The village shall be taken as unit for consideration of sanction of remission or suspension of revenue, due to loss of crops by natural calamities.

(f) When the loss is 50 per cent or more, but less than 75 per cent of normally yield in the main crop of a village, the collection of land revenue will be suspended for the year and when the loss is 75 per cent or more, the land revenue will be remitted.

(g) Local Officers below the rank of a Collector while recommending any proposal or remission or suspension shall not act in anticipation of approval of the competent authority. The Collector of the district can at his discretion, direct that collection of land revenue in village which quality for suspension or remission shall be deferred in by the 15th March of the year, the sanction of the competent authority as required under Subclause (i) below has not been received by him. The Collector shall as soon as he orders a moratorium of revenue collection in the concerned villages immediately keep the Revenue Divisional Commissioner or the Board of Revenue may on receipt of information confirm the action taken by the Collector or revoke it subject to the condition that each shall have to keep the next higher authority informed of the action so taken by him.

(h) The powers for granting suspension and remission of land revenue by different authorities in respect of each Tahasil during a financial year (but not in any individual case) are indicated below.

(i)	Collector	Up to Rs.2000
(ii)	Revenue Divisional Commissioner	Up to Rs.5000
(iii)	Board of Revenue	Up to Rs.10000
(iv)	Government	Above Rs.10,000

(i) If sanction of remission or suspension is within the financial powers of the Collectors as laid down in Clause (h) the Collector shall pass necessary order. If however, it is not within his power of sanction he shall submit his proposal to the R.D.C. The Commissioner shall take prompt action to issue final orders on the proposals of the Collector, if issue of such order is within his financial powers. Where it exceeds his financial powers he shall obtain the orders of the Board of Revenue or the Government (through Board of Revenue)

as the case many be. In any case, orders shall be obtained by the 31st January so that there may not be any difficulty for the tenants.

(j) The Collector, the R.D.C. or the Board of Revenue shall after sanction of suspension or remission in accordance with financial limits prescribed in Clause (9) above forward to the State Government in the Revenue Department, a copy of the order granting suspension or remission of land revenue as and when it is sanctioned. This report shall be received by the State Government not latter than 28th February of the year to which it relates.

REGISTER NO.12-A

Touzi Ledger

128. All items of revenue accounted for in the Tenant's ledger (Register No.II) are intended to be accounted for in this register at the Tahasil level. The accounts shall be maintained villages war and the demand of the village of a particular year as fixed at the close of the year should be carried forward as the demand for the year following. All additions to and alteration in the demand in course of the year will be noted in Register No.1 or in Register No.3 from time to time and at the close of the year, the net changes in the demand of the village will be worked out in this register in the manner laid down in Rules 101 and 106. The entries will then be authenticated by the Signature of the Head Clerk of the Tahsil Office. The number of relevant pages of Register No.1 or Register No.3 as the case may be noted in this register, as the authority for such correction.

13. Sufficient number of pages should be left for each village so as to account for the collections as they take place from time to time. The villages shall be serially numbered and arranged Revenue Inspector Circle war. The serial number of the villages will be known as the Touzi number of the village. As and when collections are received they are to be posted. For this purpose the Revenue Inspector Circle challans accompanying the remittance which will be

received along with the cash by the Cashier of the office will be forwarded to the Touzi clerk with an endorsement that he (the Cashier) has received the total amount mentioned in the challan and has granted a receipt to the Revenue Inspector for the purpose. The number and date of the receipt should invariably be mentioned in the endorsement of the Cashier. Without the mention of the number and date of the receipt granted to the Revenue Inspector, no challan shall be entertained as genuine in the Touzi section. Before granting the receipt for the money received, the Cashier shall be responsible for the arithmetical calculation made in the accompanying challans. Any discrepancy has to be explained by him and him alone. Challans, where there is any discrepancy in the arithmetical calculation, shall not be accepted by the Touzi section and until the discrepancy is reconciled by the Cashier, the Touzi section has no authority to post the Collections in the Touzi ledger. For facilitating the submission of monthly D.C.B. returns. Monthly totals of the collections shall always be struck. Progressive total of the collections shall also be worked out every month.

REGISTER NO.12-B

Ledger for Miscellaneous Revenue

131. The demand for the year for the fluctuating sources of revenue can be arrived at only at the end of the year. The column 1 meant for filling up the demand cannot therefore be filled up until the close of the year. At the close of the year action shall be taken as indicated in Rules 111, 113 and 115 for arriving at the demand. For the purpose of furnishing the D.C.B. returns, last year's demands shall be taken as the current year's demand for all the months off the year excepting for the last month when the correct demand should be worked out and reported, posting in this register shall be effect in the same manner as prescribed for Register No.12-A.

REGISTER NO.13

Subsidiary Register to account for Land Revenue Collections

132. This register is intended to account for all times of revenue that are collected by the Revenue Inspector and remitted to the Tahsil office. It shall be maintained by the Cashier. The revenue Inspector shall be entitled to receive a receipt in the miscellaneous receipt form for the total amount remitted by him to the Tahasil Office. The challans with the remittance shall be retained by the Cashier who shall maintain this register first and then hand over the challan to the Touzi section for maintenance of the registers there. The daily totals and monthly totals of the amount collected through this register shall be struck regularly. The monthly totals shall be verified against the totals of the Touzi section before the monthly return is submitted. The Office copy of the return shall be signed by the both the Touzi clerk is submitted. The office copy of the return shall be signed by both the Touzi clerk and the Cashier in taken of such verification having been conducted. If any discrepancy in the accounts is found it shall be reconciled before the return is submitted and such reconciliation is the responsibility or the Head Clerk of the Tahasil Office. Before the Office copy of the return is submitted to the Tahsildar for his scrutiny and signature. It shall contain a certificate form the Head Clerk that necessary reconciliation between the Touzi accounts and the Cashier's accounts have been made. "This register shall serve as a Subsidiary Register to the Cash Book and that the daily total in this register should be taken Cash Book everyday".

133. The challans should be posted serially in a Guard File and should be produced at the time of audit. They are to be preserved for a period of 6 years but shall not be destroyed until audit of the accounts for the year concerned is over and compliance on the audit note has been submitted. Before the challans are actually destroyed orders of the Tahsildar shall be obtained

and while according permission for the destruction of the challans the Tahasildar shall satisfy himself that no audit note or any other reference concerning the Touzi accounts or any other accounts other for which reference to challans may be necessary has been pending.

REGISTER NO.14

Subsidiary Register of Miscellaneous Receipts in Tahsil Office

134. Register No.12-A and 12-B meant for keeping account of all collections made through the Revenue Inspectors. This register (Register No.14) is meant for keeping account of all collections not required to pass through the account of the Revenue Inspector. Thus, payment towards rent made by a tenant direct in the Tahsil Office through money order is ultimately accounted for the Register No.12-A whereas payment of Amin Fee or Salami at the time of taking lease of land has to pass through this Register. The criterion to be followed in distinguishing as to whether a particular payment has to pass through one of the Register No.12-A or 12-B or Register No.14 is that whether in the normal course of business the collection of the amount in question is or is not the duty of the Revenue Inspector.

Register No.-X-Register of Remission of Revenue

60. This is an annual register of revenue remissions. It should include only occasional remissions granted on account of adverse season such as remission for waste and loss of crops.

61. The remission of basic water rate, water rate and water cess may be granted for the following reasons -

(i) Failure of supply of irrigation water.

(ii) Material injury from excess of water due to deficient drainage.

(iii) Injury to the crops caused by inundation, by light, by storm or by any extraordinary cause.

No remission shall be granted in respect of cases falling under Clause (iii) above without the specific orders of the State Government.

62. When there is an apprehension of failure of crop or wide spread calamity, the Revenue Inspector should inspect the lands, the crop of which is likely to fail as soon as the failure or calamity is known and furnish a report to the Tahsildar about his estimate of the anticipated damage to the crops. Where the damage or calamity is due to any unexpected cause like attack by locusts, the Revenue Inspector should inspect the fields immediately after the damage is caused and shall submit a report to the Tahsildar. His report should contain all relevant facts so as to enable the Tahsildar to property appreciate the case. The Revenue Supervisor and the Tahsildar should make a percentage check of the area where there has been damage or failure of crop, the minimum percentage being 50 for the Revenue Supervisor and 25 for the Tahsildar. When the Tahsildar is satisfied after his percentage check that the Revenue Inspector's report is substantially correct he should start a Revenue Inspector's report is substantially correct he should start a Revenue Miscellaneous Case and submit it to the competent authority through proper channel for obtaining orders of remission.

63. Individual application for remission may be presented to the Tahsildar. The Tahsildar shall forward copies of such application to the Revenue Inspector for enquiry and report. The Revenue Inspector should within one week from the date of receipt of this reference furnish his report clearly specifying whether the damage was due to the neglect of the applicant or it was beyond his control. His report should be endorsed by the Revenue Supervisor in all cases. The Tahasildar before formulating his recommendations in the matter should inspect the land and thereafter submit his recommendation to the competent authority.

64. Orders of remission are to be issued to the Revenue Inspector in duplicate in the Form E of Appendix C. The Revenue Inspector is to retain one copy in his guard file returning the other to the Tahsildar as an acknowledgment. In the duplicate copy returnable to the Tahsildar, the Revenue Inspector shall mention that he has filled up the relevant columns of Registers Nos. X and II on the basic of these orders. The copies retainable by the Revenue Inspector shall be kept in a guard file arranged serially.

65. (a) In the matter of remission and suspension of land revenue for loss of crops caused by natural calamities, such as flood, drought and cyclone etc., the procedure laid down in paragraphs 189 to 193 of the Bihar and Orissa Famine Code, so far as it relates to the reporting about the extent of damage shall be followed.

(b) Necessary investigation for assessing the damages caused to crops by natural calamities shall be done by a Revenue Officer not below the rank of a Tahsildar.

(c) The Tahsildar or Revenue Officer, any, specially employed for the purpose shall prepare a preliminary report and submit the same to the Sub-divisional Officer who shall then make a test check in at least 10 per cent of the total number of villages affected. The report with the recommendation of the Subdivisional Officer shall be submitted to the Collector who before passing final order or formulating recommendation about suspension or remission shall make a test check in at least 1 per cent of the affected villages.

(d) The enquiry and check as envisaged in Clause (b) and (c) above shall be completed before the 31st December of the year to which the claim for suspension or remission relates.

(e) The village shall be taken as unit for consideration of sanction of remission or suspension of revenue, due to loss of crops by natural calamities.

(f) When the loss is 50 per cent or more, but less than 75 per cent of normal yield in the main crop of a village, the collection of land revenue will be

suspended for he year and when the loss is 75 per cent or more the land revenue will be remitted.

(g) Local Officer below the rank of a Collector while recommending any proposal of remission or suspension shall not act in anticipation of the approval of the competent authority. The Collector of the district can at his discretion direct that collection of land revenue in village which qualify for suspension or remission shall be deferred if by the 15th March of the year, the sanction of the competent authority as required under Sub-clause (i) below has not been received by him. The Collector shall as soon as he orders a moratorium of revenue collection in the concerned villages immediately keep the Revenue Divisional Commissioner and the Board or Revenue informed of the action. The Revenue Divisional Commissioner or the Board of Revenue may on receipt of information confirm the action taken by the Collector or revoke it subject to the condition that each shall have to keep the next higher authority informed of the action so taken by him.

(h) The powers to sanction, remission and write off of cess sairat and miscellaneous revenue in appropriate cases by different authorities are indicated below.

	Authority	Extent of Power
(a)	Administration	Rs. 15,000/- in each case
(b)	Member, Board of Revenue	Rs. 10,000/- in each case
(c)	Head of Department	Rs. 7,500/- in each case
(d)	Collectors	Rs. 3,000/- in each case
(e)	Head of other Sub-ordinate	Rs. 1,500/-in each case

(i) If sanction of remission or suspension is within the financial powers of the Collector as laid down in Clause (h), the Collector shall pass necessary orders. If however, it is not within his power of sanction he shall submit his proposal to the R.D.C. The Commissioner shall take prompt action to issue final

orders of the proposals of the Collector, if issue of such order is within his financial powers. Where it exceeds his financial powers he shall obtain the orders of the Board of Revenue or the Government (through Board of Revenue) as the case may be. In any case orders shall be obtained by the 31st January so that there may not be any difficulty for the tenants.

(ii) The Collector, the R.D.C. of the Board of Revenue shall after sanction of suspension or remission in accordance with the financial limits prescribed in Clause (9) above forward to the State Government in the Revenue Department, a copy of the order granting suspension or remission of land revenue as and when it is sanctioned. This report shall be received by the State Government not latter than 28th February of the year to which it relates. [13]

3.4. TAHASIL EXPENDITURE

Public Expenditure is the expenditure incurred by the public authority - Central, State and local Government either for the Satisfaction of collective needs of the Citizens or for promoting their economic and social welfare.

Proper utilization of the expenditure with improved management technique is indispensable for revenue administration.

The pattern of expenditure of the Tahsil Administration relates to administrative and other continental functions. The main function of Tahasil administration is to collect the land revenue and other taxes. The nature of expenditure depends upon the nature and character of functions. All these works are done by the Tahasil personnel, which require expenditure. As the Tahasil functions are categorised into obligatory i.e. collection of land revenue and other taxes and optional the expenditure may vary from time to time and place to place. The expenditure may be categorised into

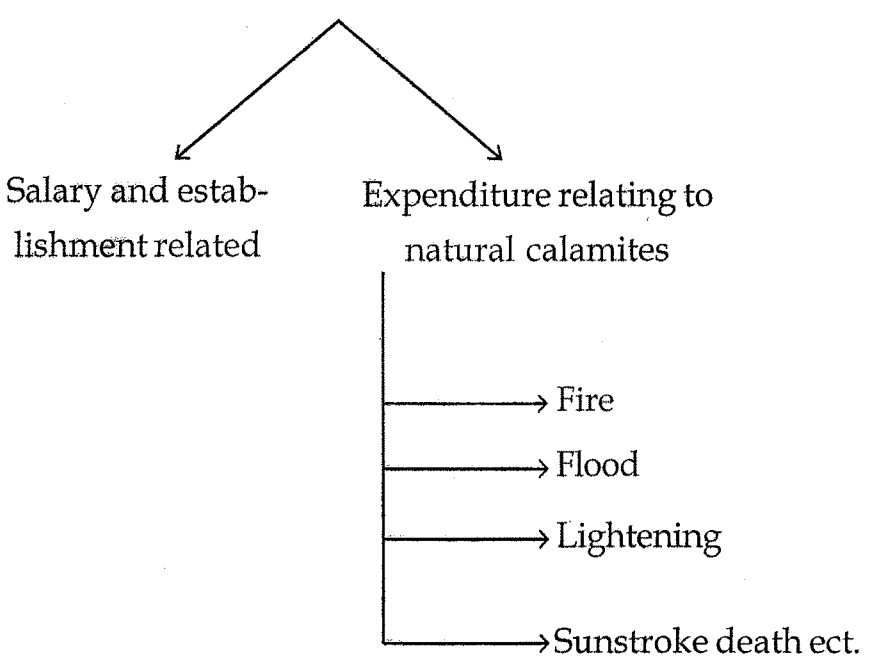
13. Ibid - PP. 30 to 33 & 49 to 93.

(i) Current and recurring and

(ii) Extra - Ordinary which is known as now recurring expenditure

The pattern of expenditure may differ from one Tahasil to another in extra ordinary or nonrecurring expenditure. Besides the pattern of expenditure is changed from year to year due to the necessities. The obligatory expenditure leads to payment of salary and allowances such as pay, Dearness Pay, Dearness Allowances, Reimbersment cost medicine, Other Allowance. Traveling Expenditure, Festival Allowances Office contigencies. Vehicle, where as the non - recurring or contigental expenditure comprises of T.E., O.A., F.E. Electricity, water charges, Telephone charges, OC, MV, Consulting charges, RRT, spared services, Computer Programmes etc.

PATTERN OF EXPENDITURE



Alternative in these heads are received from the special Relief commision (S.R.C.)

Expenditure

The Jajpur Tahasil office maintains the accounts in the following registers as prescribed in the mannuals of
Tahasil accounts.

(1) Register of the Revenue Inspector.
(2) Register of the Tahasildar.
(3) Touzi Accounts of the Collectorate.
(4) Annual Verification of Accounts.
(5) Returns

Register of the Revenue Inspector combines the following registers.

REGISTERS OF THE REVENUE INSPECTOR

Register No.I	-	Jamanbandi Register
Register No.II	-	Tenants Ledger
Register No.III	-	Register of Changes
Register No.IV	-	Register of Encroachment cases
Register No.V	-	Register showing assessment of water rate of all kinds in the village
Register No.VI	-	Register showing government lands temporarily leased out for purposes of agriculture and lands liable to pay rent in kind with whatever right they may be held.
Register No.VII	-	Permanent of Sairat Sources.
Register No.VIII	-	Register showing D.C.B. of revenue derived from Sairat sources.
Register No.IX	-	Register showing the D.C.B. of miscellaneous items of revenue.
Register No.X	-	Register of Remission of Revenue
Register No.XI	-	Stock Register of Receipt Books.
Register No.XII	-	Receipt Book

Register No.XIII	-	Sadar Siha
Register No.XIV	-	Village-war Siha
Register No.XV	-	Cash Book.
Register No.XVI	-	D.C.B. Register. [14]

The following are the registers maintained by the Tahasildars.

REGISTERS OF THE TAHASILDAR

Register No.1	-	Register of Changes.
Register No.2	-	Register of Encroachment Cases
Register No.3	-	Register of Fluctuating Water rate
Register No.4	-	Register of Assignment and payment of Compensation
Register No.5	-	Permanent Register of Sairat Sources
Register No.6	-	Quinquennial Register showing demand on Sairat Sources
Register No.7	-	Register of Miscellaneous Receipts collected through the Revenue Inspector
Register No.8	-	Quinquennial Register of Lease of Lands, etc.
Register No.9	-	Permanent register of Conditional Assignments
Register No.11	-	Register of Remissions
Register No.12-A	-	Touzi Ledger
Register No.12-B	-	Ledger for Miscellaneous Revenue
Register No.13	-	Subsidiary Register to count for Land Revenue Collections
Register No.14	-	Subsidiary Register of Miscellaneous Receipts in Tahsil Office
Register No.15	-	Register of Deposits of Revenue. [15]

The following are the Touzi Accounts Register of the Collectorate.

14. Ibdi - P - 2
15. Ibdi

CHAPTER - IV

TOUZI ACCOUNTS OF THE COLLECTORATE

Register No.1	-	Touzi Ledger
Register No.2		Ledger of Miscellaneous Revenue. [16]

The following are the Annual verification of Accounts Registers and Returns.

ANNUAL VERIFICATION OF ACCOUNTS RETURNS

Return No.1	-	Monthly demand, collection and balance statement of the Revenue Inspector
Return No.2	-	Monthly Demand, Collection and Balance statement of the Tahsildar
Return No.3	-	Monthly Demand, Collection and Balance Statement of the Collector

16. Ibdi
17. Accounts Ledger, Jajpur Tahasil Office, January, 2010.

Allotment & Expenditure on Demand No.03-2029-00-104-1448-01003-Year, 2008-2009

Unit	Allotment received	Expenditure Incurred	Balance	Remarks
Pay	4,62,000	44,61,244	776	
DP	12,71,187	12,71,187	Nil	
DA	23,74,790	23,59,197	15,611	
HRA	3,27,150	3,22,083	5,067	
RCM	1,84,000	1,84,000	Nil	
OA	8,700	8,383	317	
TE	59,000	58,929	71	
Arr Pay	26,72,000	24,51,474	2,20,526	
FA	1,50,000	1,50,000	Nil	
Electricity	40,000	35,164	4,836	
Water Charge	3,000	1,048	1,952	
Telephone	14,000	3,758	10,242	
OC	54,920	54,920	Nil	
MV	40,000	39,998	02.00	
Consulting Charge	200	200	Nil	
RRT	33,000	22,716	10,284	
Spare & Service	1,000	1,000	Nil	
Computer Programme	8,800	8,800	Nil	

Allotment & Expenditure on Demand
No.03-2506-LR-00-104-0806-01003 LRC's SSH Year 2008-09, Jajpur Tahasil

Unit	Allotment received	Expenditure Incurred	Balance
Pay	1,31,900	1,22,320	9,580
DP	52,500	48,274	4,226
DA	98,300	95,623	2,677
HRA	8,300	8,283	17
OA	900	900	Nil
TE	300	Nil	300
RCM	300	Nil	300
OC	100	Nil	100
Arr. Pay	88,000	32,479	55,521
Wages -	**1,83,000**	**1,80,794**	**2206**[18]

3.5. STATE SUPERVISION AND FINANCIAL CONTROL OVER TAHASIL ADMINISTRATION :-

Audit is the balance wheel of the accounts. Audit of Tahasil finance is done usually annually at the time of Inspection by the Superior Officials like Revenue Divisional Commissioner and Accountant General of Odisha. It is the financial part of the Inspection. The compliance reports should be provided to Audit also.

It is found that the Audit register is not being maintained properly in the Tahasil Office. Similarly the Compliance report of the audit have not been furnished for different years. It can be observed here that modern welfare

18. Source, Jajpur Tahasil Office Account Section, Janurary, 2010

state has of perform functions of multidimensional character and consequently, incur heavy expenditure of the purpose.

There is absence of trained personnel to man Tahasil Administration. Techniques of material management has to be developed. Here the control by superious Authority is necessary. The system of accounting is the vitally important. Audit control by the Board of Revenue or Accountant General is effective but delatory. The main instrument of financial control in revenue administration relates to budget ary procedure, accounting method and audit practices. The state Government therefore is responsible for the organisation and administration of the administrative organs like Tahasil Office. Like other general administrative organs, the state Government have been empowered to exercise power of supervision and control over their activities. In trying to secure uniformity the Government brings about a balance between the needs and resource of the Tahasil Office. Efficiency in financial administration is secure through the instrument of budgeting, accounting, auditing and reports.

State Control over Tahasil administration may be administrative, legislative, judicial and financial. Legislative is the mother which gives birth to different rules and laws regarding administration. Judiciary has the power to interpret laws and to decide the constitutionality of the legal acts. Administrative power of the Government relate to calling for information and reports, review and legal actions. Financial control relates to -

(i) Control over resources.

(ii) Sanction of Competent authority over expenditure and

(iii) Audit of the accounts.

The Government have also the power to abolish a tax or fee, suspend such imposition and may fix such lower rate as they deem fit. The rate of each such tax may be fixed by the Government. The Government have the

power to exempt from imposition of such tax. Appeals against assessment lie to the District Magistrate or in such officer empowered by the state Government. Thus, control over financial resources is exercised by the State Government extensively.

The audit report of the Jajpur Collectorate is given below where the audit report of the Jajpur Tahasil is found out. [19]

AUDIT

Inspection report of A.G. Orissa

The A.G. Orissa has inspected the case and contingency of office of the Collectorate, Jajpur for the period from 11/2006 to 9/2008. The Inspection Report bearing No.903/08-09 has been received in this office on 03.12.2008.

On scrutiny of the Inspection Report, it appears that the following year old Inspection Reports with paras are pending for submission of compliance.

Inspection Report No.	Para No.	Total Paras
575-98-1999	5,6,9,10,12,21,24,27	8
911/99-2000	6	1
330/01-2002	4,6,11(a)(b),12	4
1652/02-2003	2,7,8	3
1896/03-2004	6	1
697/05-2006	2(A)	1
915/06-2007	2,3,4,8(a)(b)(c)(d),9,10,11,12(c) 13,15,16,17,18	13
Total	**7(I/Rs)**	**31**

The Collector is directed to instruct the concerned Deputy Collector to take immediate steps for submission of compliance report of the above pending paras within a month and report compliance.

19. Ibid

On scrutiny of the Inspection Report bearing No.903/2008-09 in Para-4, it is revealed that a sum of Rs.1,54,40,083/- has been given to District Magistrate, Orissa Civil Supplies Corporation Ltd., Jajpur as advance towards purchase of APL, Rice, BPL Rice and Dry Food for distribution as relief to Flood / Cyclone affected people form 16.05.2006 to 01.07.2008.But the above advances have not been advances have not been adjusted till the date of my inspection.

The Collector is directed to take immediate steps for adjustment of above advances by obtaining detailed supporting vouchers by 31.12.2008 respectively and report compliance. If District Manager, Orissa Civil Suppliers Ltd., fails to submit the supporting vouchers in due time, disciplinary action should be initiated against him.

Audit Report of Board of Revenue :-

The table below shows the position of compliance report of A/Rs of Board of Revenue Orissa, Cuttack.

Year	Name of the Office	No. of A/Rs pending at the begining of the year		No. of A/Rs Received during the year		Total		No of A/R on which C/R submitted to A.G, Orissa		Balance	
		No.	Para	No.	Para	No.	Para	No.	Para	No.	Para
2008-09 (till 30.11.08)	Collector, Jajpur	6	114	-	-	6	114	-	-	6	114
	Sub - Collector, Jajpur	5	77	-	-	5	77	-	-	5	7
	Tahasildar	68	2178	-	-	68	2178	-	-	68	2178
Total		79	2369	-	-	79	2369	-	-	79	2369

The Collector should make an effort for submission of compliance report of the above pending paras of Board of Revenue, Orissa, Cuttack.